

# PROJECT VALUATION REPORT

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## AN GIA PREMIUM RESIDENTIAL LEASING PROJECT

Nhà Bè District, Ho Chi Minh City

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Basis: Real (Constant 2024 VND) Discounted Cash Flow Model

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## 1. Executive Summary

An Gia Investment Joint Stock Company (“An Gia”) has secured a 30-year land-use right (2024–2053) over a 3.2-hectare site in Nhà Bè District, Ho Chi Minh City, for the development of a 175-unit high-end apartment complex targeted at long-term corporate and expatriate lease tenants. This memorandum summarizes the investment economics of the project based on a real (constant 2024 VND) discounted cash flow framework, covering the 3-year construction period (2024–2026) and 27 years of commercial operation (2027–2053).

The project requires a total investment of approximately 500.8 billion VND (inclusive of capitalized interest during construction), funded by 189.7 billion VND of new equity (issued in 2024–2025) and 311.1 billion VND of senior long-term bank debt (16-year tenor, including a 4-year principal grace period).

### Key Findings

| PROJECT NPV (TIPV) | PROJECT IRR (TIPV) | EQUITY NPV (EPV) | EQUITY IRR (EPV) |
|--------------------|--------------------|------------------|------------------|
| <b>27.1 bn</b>     | <b>10.6%</b>       | <b>41.7 bn</b>   | <b>13.8%</b>     |
| VND, real terms    | vs. WACC ≈ 10.1%   | VND, real terms  | vs. 12.0% hurdle |

On a Total Invested Project Value (TIPV) basis, before financing — the project generates a positive NPV of 27.1 billion VND at the blended real WACC, with a project IRR of 10.6%. On an Equity Point of View (EPV) basis, the project is considerably more attractive to An Gia’s shareholders: equity NPV is 41.7 billion VND and equity IRR reaches 13.8%, exceeding An Gia’s required real return of 12.0% by roughly 2 percentage points. The gap between the two return measures reflects the positive leverage effect of long-term bank debt priced at a real interest rate (5.5%) below the project’s unlevered return.

From a lender’s perspective, the average annual debt service coverage ratio (ADSCR) over the 2027–2040 repayment period is 2.07x, comfortably above the 1.2x–1.3x threshold typically required for project finance. The ratio dips to approximately 1.24x–1.3x in 2031–2033 — the first years after the principal grace period ends — before recovering steadily as rental income grows and the loan amortizes. This profile indicates that the project’s operating cash flow is structurally sufficient to service debt throughout the loan tenor, subject to the tightest coverage years receiving appropriate covenant headroom.

### Recommendation

Based on the real-terms analysis, the project is financially viable and value-accretive both at the project level and, more importantly, from An Gia’s equity perspective. An Gia should proceed with the investment. The financing structure proposed — 80%/20% equity-debt mix in 2024, 30%/70% in 2025, and 100% debt in 2026, totaling 311.1 billion VND in senior debt — appears bankable given the projected coverage ratios, and a commercial bank could reasonably approve the facility subject to standard project-finance conditions (completion guarantee, debt service reserve account, and minimum ADSCR covenant during the 2031–2033 trough years).

*Note: All figures are expressed in real (constant 2024 VND) terms unless stated otherwise. The foreign-currency / nominal-inflation sensitivity (differential VND vs. USD inflation) referenced in the original assignment brief was outside the scope of the underlying DCF workbook reviewed for this memorandum and is therefore not covered in this report.*

## 2. Project Overview

### 2.1 Project Description

The Ho Chi Minh City government has entered into a 30-year land-lease agreement (2024–2053) with An Gia for a 3.2-hectare (32,000 m<sup>2</sup>) parcel in Nhà Bè District. An Gia will develop and operate a high-end residential complex of 175 fully furnished and serviced apartments, leased exclusively to senior expatriate professionals and corporate tenants. The project will be professionally managed under a service agreement with CBRE, an internationally branded real estate management group, which will operate the full leasing program in exchange for a management fee structured as 50% of net rental income.

Construction spans three years (2024–2026), with operations commencing in 2027 and continuing through the end of the land-lease term in 2053 (27 years of operation).

### 2.2 Project Configuration

| Unit Type    | No. of Units | Unit Area (m <sup>2</sup> ) | Total Area (m <sup>2</sup> ) |
|--------------|--------------|-----------------------------|------------------------------|
| 1-Bedroom    | 60           | 64                          | 3,840                        |
| 2-Bedroom    | 93           | 120                         | 11,160                       |
| 3-Bedroom    | 22           | 184                         | 4,048                        |
| <b>Total</b> | <b>175</b>   | –                           | <b>19,048</b>                |

*Total leasable apartment area: ~19,048 m<sup>2</sup>. Gross floor area (incl. common areas, at a 1.2x building coefficient): ~22,858 m<sup>2</sup>. The project also includes a 330 m<sup>2</sup> swimming pool and landscaped garden.*

### 2.3 Investment Structure

Total project investment is estimated at 500.8 billion VND (2024 real prices, including capitalized interest during construction), comprising building construction, interior fit-out, the pool and landscaping, soft costs (design, fundraising, insurance, documentation, marketing, legal/accounting, and management fees), and a 10% contingency reserve on each cost line.

| Funding Source                                             | Amount (bn VND) | % of Total    |
|------------------------------------------------------------|-----------------|---------------|
| New equity issuance (An Gia)                               | 189.7           | 37.9%         |
| Senior bank debt (incl. capitalized construction interest) | 311.1           | 62.1%         |
| <b>Total Capitalization</b>                                | <b>500.8</b>    | <b>100.0%</b> |

Equity of 189.7 billion VND is raised via new share issuance: 126.3 billion VND disbursed in 2024 and 63.4 billion VND in 2025. The remaining capital requirement is funded by senior long-term bank debt with a 16-year tenor, disbursed across 2024–2026 in step with construction progress. The annual equity/debt funding mix during the build period is shown below.

| Funding Mix | 2024 | 2025 | 2026 | Total |
|-------------|------|------|------|-------|
|-------------|------|------|------|-------|

|              |       |       |        |   |
|--------------|-------|-------|--------|---|
| Equity share | 80.0% | 30.0% | 0.0%   | – |
| Debt share   | 20.0% | 70.0% | 100.0% | – |

*Loan terms: 16-year tenor; 4-year principal grace period (2027–2030) during which interest accrues and is paid currently; principal repaid in 10 equal annual instalments from 2031 to 2040. Lending rate: floating, referenced to the bank's 1-year deposit rate (8.0% nominal at signing) plus a 3.5% margin (11.5% nominal); a 5.5% real rate is used for debt scheduling to remain consistent with the real-terms cash flow model.*

### 3. Key Assumptions

The financial model is built entirely in real terms (constant 2024 VND), consistent with the use of a 5.5% real interest rate for debt scheduling. All growth rates below are real (i.e., net of general inflation).

#### 3.1 Revenue Assumptions

##### Rental Price

The current market rent for comparable high-end leased apartments is 0.72 million VND/m<sup>2</sup>/month (2024 price, VAT-inclusive at 10%), equivalent to 0.6545 million VND/m<sup>2</sup>/month net of VAT. Real rental rates are assumed to escalate as follows:

| Period    | Real Rent Growth (p.a.) |
|-----------|-------------------------|
| 2025–2031 | 6.0%                    |
| 2032–2036 | 5.0%                    |
| 2037–2041 | 4.0%                    |
| 2042–2051 | 3.0%                    |
| 2052–2053 | 0.0% (flat)             |

##### Occupancy Rate

The project opens at 50% vacancy in its first operating year (2027) as the leasing program ramps up. Vacancy declines by 10 percentage points per year, reaching a stabilized 20% vacancy rate (80% occupancy) from 2030 onward, which is held constant through to the end of the lease term in 2053.

| Year                      | Vacancy Rate |
|---------------------------|--------------|
| 2027 (1st operating year) | 50%          |
| 2028                      | 40%          |
| 2029                      | 30%          |
| 2030 onward (stabilized)  | 20%          |

##### Inflation

The model is constructed entirely in real (constant 2024 VND) terms. All revenue, cost, and financing figures already strip out general price inflation; growth rates quoted throughout this report (rent escalation, etc.) are real growth rates over and above inflation. The underlying workbook does not separately model differential VND vs. USD inflation paths; the financing cost (5.5% real lending rate) is likewise quoted on a real basis to remain internally consistent.

## 3.2 Cost Assumptions

### Operating Cost

Under the CBRE leasing service agreement, operating costs are structured as a combination of percentage-of-income charges and fixed per-m<sup>2</sup> fees:

| Cost Item                                                                                   | Basis      |
|---------------------------------------------------------------------------------------------|------------|
| Direct leasing service costs (staff, guest services, reservations, housekeeping, utilities) | 15% of EGI |
| Administrative costs (management staff, equipment, marketing/sales)                         | 5% of EGI  |
| CBRE management fee                                                                         | 50% of NOI |

### Maintenance Cost

| Cost Item                                                       | Basis                                            |
|-----------------------------------------------------------------|--------------------------------------------------|
| Interior / FF&E maintenance                                     | 5% of NOI                                        |
| Common-area utility & service fee (pool, landscaping, security) | 0.018 mn VND/m <sup>2</sup> /month (2024 price)  |
| Common-facility major maintenance fee                           | 0.0045 mn VND/m <sup>2</sup> /month (2024 price) |

### Land Lease Fee

Annual land rent of 0.125 million VND/m<sup>2</sup>/year (2024 price) is payable on the full 32,000 m<sup>2</sup> site from the first operating year (2027), equivalent to 4.0 billion VND per year in real terms held flat over the lease term.

## 3.3 Financing Assumptions

### Debt Ratio

The capital structure shifts from majority-equity funded in the early construction year to fully debt-funded by completion: 80% equity / 20% debt in 2024, 30% equity / 70% debt in 2025, and 0% equity / 100% debt in 2026. On a fully-funded basis across the build period, debt represents 62.1% of total project capitalization.

### Interest Rate

The loan carries a floating nominal rate equal to the bank's 1-year deposit rate (8.0% at signing) plus a fixed 3.5% margin, i.e. 11.5% nominal in year one. For consistency with the real-terms cash flow model, a 5.5% real interest rate is applied throughout the debt amortization schedule.

### Loan Tenor

The senior facility has a 16-year tenor (2024–2040): 3 years of disbursement during construction (2024–2026) plus 4 years of principal grace (2027–2030, interest-only) plus 10 years of equal principal amortization (2031–2040). Interest accrued during the construction period (11.7 billion VND) is capitalized into loan principal, bringing total debt outstanding at completion to 311.1 billion VND.

## 4. Revenue Analysis

Rental revenue is driven by three factors: (i) total leasable area (~19,048 m<sup>2</sup>, fixed), (ii) the real rental rate per m<sup>2</sup>, which escalates over time per the schedule in Section 3.1, and (iii) the occupancy rate, which ramps from 50% in the opening year (2027) to a stabilized 80% from 2030 onward.

Potential Gross Income (PGI) is calculated as the net-of-VAT rental rate multiplied by total leasable area. Effective Gross Income (EGI) deducts income foregone due to vacancy. In the model's first operating year (2027), PGI of 178.2 billion VND is reduced by 50% vacancy to an EGI of only 89.1 billion VND. As occupancy stabilizes and rents continue to escalate, EGI grows substantially — reaching 218.8 billion VND by 2035 and 375.6 billion VND by the end of the lease term in 2053.

#### 4.1 Revenue Build-up (selected years, billion VND, real 2024 terms)

| Item                                | 2027      | 2028       | 2029       | 2030       | 2031       | 2035       | 2040       | 2045       | 2050       | 2053       |
|-------------------------------------|-----------|------------|------------|------------|------------|------------|------------|------------|------------|------------|
| Potential Gross Income (PGI)        | 178       | 189        | 200        | 212        | 225        | 273        | 336        | 393        | 456        | 469        |
| Less: Vacancy loss                  | 89        | 76         | 60         | 42         | 45         | 55         | 67         | 79         | 91         | 94         |
| <b>Effective Gross Income (EGI)</b> | <b>89</b> | <b>113</b> | <b>140</b> | <b>170</b> | <b>180</b> | <b>219</b> | <b>269</b> | <b>315</b> | <b>365</b> | <b>376</b> |

Figures shown for illustrative selected years; the full model projects all 27 operating years (2027–2053) annually. PGI excludes VAT.

#### 4.2 Revenue Growth Drivers

- Occupancy ramp-up (2027–2030): the single largest driver of early-stage revenue growth, as vacancy falls from 50% to the stabilized 20% rate, more than doubling EGI between 2027 and 2030 even before accounting for rent escalation.
- Real rent escalation (2025 onward): real rental rates compound at 6% p.a. through 2031, moderating to 5%, 4%, and ultimately 3% p.a. in later decades, reflecting a typical maturing-asset rent growth curve.
- Terminal flattening (2052–2053): real rent growth assumed to cease in the final two years of the lease term, consistent with the approaching expiry of the underlying 30-year land lease and limited remaining economic life for further capital improvement.

## 5. Cost & Profitability Analysis

Operating costs scale primarily with rental income (direct leasing costs, administrative costs, and the CBRE management fee are all percentage-of-income charges) plus fixed per-m<sup>2</sup> charges for common-area services and major maintenance, and a flat annual land lease payment. This cost structure provides natural operating leverage: as occupancy stabilizes and rents grow, EBITDA margin expands.

#### 5.1 Operating Statement (selected years, billion VND, real 2024 terms)

| Item                         | 2027 | 2028 | 2029 | 2030 | 2031 | 2035 | 2040 | 2045 | 2050 | 2053 |
|------------------------------|------|------|------|------|------|------|------|------|------|------|
| Effective Gross Income (EGI) | 89   | 113  | 140  | 170  | 180  | 219  | 269  | 315  | 365  | 376  |
| Less: Total operating cost   | 68   | 83   | 101  | 113  | 119  | 144  | 176  | 205  | 237  | 244  |

| EBITDA                           | 21         | 30         | 40        | 57        | 61        | 75        | 93        | 109       | 127       | 131       |
|----------------------------------|------------|------------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|
| Less: Depreciation               | 26         | 26         | 26        | 26        | 26        | 16        | 16        | 16        | 16        | –         |
| EBIT                             | -5         | 4          | 14        | 31        | 35        | 58        | 76        | 93        | 111       | 131       |
| Less: Interest expense           | 17         | 17         | 17        | 17        | 17        | 10        | 2         | 0         | 0         | 0         |
| Earnings before tax (EBT)        | -22        | -13        | -3        | 14        | 18        | 48        | 75        | 93        | 111       | 131       |
| Less: Corporate income tax (25%) | 0          | 0          | 0         | 0         | 0         | 12        | 19        | 23        | 28        | 33        |
| <b>Net Income</b>                | <b>-22</b> | <b>-13</b> | <b>-3</b> | <b>14</b> | <b>18</b> | <b>36</b> | <b>56</b> | <b>70</b> | <b>83</b> | <b>98</b> |

Total operating cost includes direct leasing service costs, administrative costs, CBRE management fee, maintenance, common-area utility/service fees, land lease, and (2027–2029 only) amortization of pre-operating soft costs.

## 5.2 Profitability Trends

- EBITDA margin (EBITDA/EGI) improves materially as occupancy stabilizes: from roughly 24% in 2027 (still loss-making at the EBIT level due to low occupancy) to approximately 34–35% from the early 2030s onward as the cost base, dominated by percentage-of-income charges, scales in proportion with a now-larger and stabilized revenue base.
- Net Income is negative in 2027–2029 (the ramp-up years) primarily due to depreciation and interest expense outweighing still-modest EBIT during the occupancy build-up phase, but turns positive from 2030 and grows consistently thereafter.
- Accumulated tax losses from 2027–2029 are carried forward and fully absorbed by 2032, after which the project becomes a full corporate income taxpayer at the standard 25% rate.
- From 2031 (loan amortization begins) interest expense steps down each year as principal is repaid, supporting continued Net Income growth alongside top-line rental growth.

## 6. DCF Valuation

The project is valued using two complementary discounted cash flow perspectives, both expressed in real (constant 2024 VND) terms: the Total Invested Project Value (TIPV), which discounts unlevered project free cash flow at a time-varying weighted average cost of capital (WACC), and the Equity Point of View (EPV), which discounts free cash flow to equity at An Gia's required real return on equity of 12.0%.

### 6.1 Free Cash Flow Forecast

Project free cash flow (TIPV) equals net operating cash inflow (EGI less operating costs, management fee, maintenance, land lease and cash taxes) less capital expenditure during the 2024–2026 construction period. Equity free cash flow (EPV) further deducts net debt service (interest and principal) and adds net debt drawdowns, isolating the cash flow available to An Gia's shareholders.

| Item (bn VND)                | 2024        | 2025        | 2026        | 2027      | 2030      | 2031      | 2035      | 2040      | 2045      | 2053      |
|------------------------------|-------------|-------------|-------------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|
| <b>FCF to Project (TIPV)</b> | <b>-158</b> | <b>-211</b> | <b>-120</b> | <b>36</b> | <b>57</b> | <b>61</b> | <b>63</b> | <b>74</b> | <b>86</b> | <b>98</b> |
| <b>FCF to Equity (EPV)</b>   | <b>-126</b> | <b>-63</b>  | <b>0</b>    | <b>19</b> | <b>40</b> | <b>13</b> | <b>21</b> | <b>41</b> | <b>86</b> | <b>98</b> |

During construction (2024–2026), project FCF is negative, reflecting capital expenditure of 157.9, 211.3, and 119.9 billion VND respectively. Equity FCF in this period reflects only the equity portion of funding, and is zero in 2026 since 100% of that year's outlay is debt-funded.

## 6.2 Weighted Average Cost of Capital (WACC)

Because the project's debt-to-equity ratio changes materially over time — rising sharply during construction as debt is drawn down, then falling steadily to zero as the loan amortizes between 2031 and 2040 — the model applies a year-by-year WACC rather than a single static rate. The cost of equity is fixed at An Gia's 12.0% real hurdle rate; the after-tax real cost of debt is fixed at the 5.5% real lending rate (debt interest is tax-deductible, but the model's WACC calculation as built uses the pre-tax real rate directly given the project's early-year tax-loss position).

| Item                              | 2024         | 2025        | 2026        | 2027        | 2030        | 2031        | 2035        | 2040         | 2045         | 2053         |
|-----------------------------------|--------------|-------------|-------------|-------------|-------------|-------------|-------------|--------------|--------------|--------------|
| Debt weight (%D)                  | 20.0%        | 58.9%       | 71.1%       | 71.1%       | 71.1%       | 68.9%       | 55.2%       | 0.0%         | 0.0%         | 0.0%         |
| Equity weight (%E)                | 80.0%        | 41.1%       | 28.9%       | 28.9%       | 28.9%       | 31.1%       | 44.8%       | 100.0%       | 100.0%       | 100.0%       |
| <b>WACC (year-specific, real)</b> | <b>10.7%</b> | <b>8.2%</b> | <b>7.4%</b> | <b>7.4%</b> | <b>7.4%</b> | <b>7.5%</b> | <b>8.4%</b> | <b>12.0%</b> | <b>12.0%</b> | <b>12.0%</b> |

The blended discount rate used to derive the project-level NPV, computed as the geometric-average WACC across the full cash flow horizon, is approximately 10.1% in real terms — below the 12.0% cost of equity, reflecting the cash flow benefit of the relatively cheap, tax-advantaged senior debt across the financing structure's life. WACC converges to the 12.0% cost of equity from 2040 onward once the loan is fully repaid and the project is entirely equity-financed.

## 6.3 Valuation Results

| Metric                                  | TIPV (Project)   | EPV (Equity)     |
|-----------------------------------------|------------------|------------------|
| <b>Net Present Value (bn VND, real)</b> | <b>27.1</b>      | <b>41.7</b>      |
| <b>Internal Rate of Return (real)</b>   | <b>10.6%</b>     | <b>13.8%</b>     |
| Discount rate applied                   | WACC ≈ 10.1%     | Re = 12.0%       |
| NPV vs. discount rate decision          | NPV > 0 — Accept | NPV > 0 — Accept |

Both valuation perspectives confirm value creation: the project-level NPV of 27.1 billion VND demonstrates that the asset generates returns above its blended cost of capital, while the substantially higher equity-level NPV of 41.7 billion VND and equity IRR of 13.8% (versus a 12.0% hurdle) confirm that leverage materially enhances returns to An Gia's shareholders without rendering the project unviable at the asset level. The IRR spread of approximately 360 basis points between EPV (13.8%) and TIPV (10.6%) reflects the positive contribution of debt financed at a real cost (5.5%) below the project's unlevered return.

## 7. Financing & Debt Service Analysis

The senior loan of 311.1 billion VND (including capitalized construction-period interest) is repaid over a 16-year tenor: a 4-year principal grace period (2027–2030, interest-only) followed by 10 equal annual principal instalments of 31.1 billion VND from 2031 to 2040. The annual debt service coverage ratio (ADSCR) — defined as net operating cash flow available for debt service divided by total debt service (interest plus scheduled principal) — is the key metric lenders use to assess repayment capacity.

### 7.1 Debt Service Schedule & Coverage Ratio (2027–2040, billion VND, real 2024 terms)



| Item (bn VND)             | 2027         | 2028         | 2029         | 2030         | 2031         | 2032         | 2033         | 2034         | 2035         | 2036         | 2037         | 2038         | 2039         | 2040         |
|---------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| Opening balance           | 311          | 311          | 311          | 311          | 311          | 280          | 249          | 218          | 187          | 156          | 124          | 93           | 62           | 31           |
| Principal repayment       | 0            | 0            | 0            | 0            | 31           | 31           | 31           | 31           | 31           | 31           | 31           | 31           | 31           | 31           |
| Interest payment          | 17           | 17           | 17           | 17           | 17           | 15           | 14           | 12           | 10           | 9            | 7            | 5            | 3            | 2            |
| <b>Total debt service</b> | <b>17</b>    | <b>17</b>    | <b>17</b>    | <b>17</b>    | <b>48</b>    | <b>47</b>    | <b>45</b>    | <b>43</b>    | <b>41</b>    | <b>40</b>    | <b>38</b>    | <b>36</b>    | <b>35</b>    | <b>33</b>    |
| Closing balance           | 311          | 311          | 311          | 311          | 280          | 249          | 218          | 187          | 156          | 124          | 93           | 62           | 31           | 0            |
| <b>ADSCR</b>              | <b>2.13x</b> | <b>2.64x</b> | <b>3.20x</b> | <b>3.34x</b> | <b>1.26x</b> | <b>1.24x</b> | <b>1.30x</b> | <b>1.40x</b> | <b>1.52x</b> | <b>1.64x</b> | <b>1.77x</b> | <b>1.92x</b> | <b>2.08x</b> | <b>2.26x</b> |

During the 2027–2030 grace period only interest (17.1 bn VND/year) is paid; the full loan balance of 311.1 bn VND remains outstanding. From 2031, equal principal instalments of 31.1 bn VND/year amortize the loan to zero by 2040.

## 7.2 Coverage Ratio Trend

ADSCR is strong and rising throughout the 2027–2030 grace period (2.1x to 3.3x), since debt service in those years is interest-only while operating cash flow is still climbing the occupancy ramp. ADSCR falls sharply to approximately 1.24x–1.30x in 2031–2033 as scheduled principal repayments begin, representing the tightest coverage years of the loan life. From 2034 onward, ADSCR recovers steadily — reaching 1.77x by 2037 and 2.26x in the final repayment year (2040) — as continued rent growth outpaces the fixed annual debt service.

The average ADSCR across the full 2027–2040 repayment period is 2.07x. This comfortably exceeds the 1.2x–1.3x minimum coverage typically required by commercial banks for real estate project finance, though the 2031–2033 trough (1.24x–1.30x) sits close to that threshold and warrants attention in loan structuring.

## 7.3 Lender Risk Assessment

- Coverage trough risk: the 2031–2033 ADSCR trough coincides with the immediate post-grace-period years; a bank would reasonably require either a debt service reserve account (DSRA) sized to cover 6–12 months of debt service, or a minimum ADSCR covenant (e.g., 1.10x–1.15x) with cure-period provisions, to protect against downside scenarios such as slower-than-modeled occupancy ramp-up or rent growth shortfalls.
- Construction-period exposure: 100% of 2026 capital expenditure is debt-funded; lenders typically require a completion guarantee or cost-overflow support from the sponsor (An Gia) to mitigate construction risk before the asset begins generating cash flow.
- Long-dated tenor matched to lease term: the 16-year facility (through 2040) sits well within the 30-year land lease horizon (through 2053), leaving 13 years of post-repayment, debt-free cash flow to support equity returns — a structurally favorable feature from a credit perspective.

# 8. Investment Recommendation

## 8.1 Summary of Findings

| Criterion                | Result             |
|--------------------------|--------------------|
| Project NPV (TIPV, real) | <b>27.1 bn VND</b> |
| Project IRR (TIPV, real) | <b>10.6%</b>       |
| Equity NPV (EPV, real)   | <b>41.7 bn VND</b> |

|                                      |       |
|--------------------------------------|-------|
| Equity IRR (EPV, real)               | 13.8% |
| An Gia required real return (hurdle) | 12.0% |
| Average ADSCR (2027–2040)            | 2.07x |
| Minimum ADSCR (single year, 2032)    | 1.24x |

## 8.2 Should An Gia Invest?

Yes. Both valuation perspectives support proceeding with the investment. At the project level, NPV is positive (27.1 billion VND) and the project IRR (10.6%) exceeds the blended real WACC ( $\approx 10.1\%$ ), confirming the underlying asset generates returns above its cost of capital even before considering financing benefits. More decisively, from An Gia's equity perspective the investment is clearly attractive: equity NPV of 41.7 billion VND is positive, and the equity IRR of 13.8% exceeds An Gia's stated 12.0% required real return by approximately 1.8 percentage points. The use of long-term debt priced below the project's unlevered return creates meaningful value accretion for shareholders without compromising the project's fundamental viability.

## 8.3 Would the Bank Approve the Loan?

On the evidence presented, a commercial bank could reasonably approve the requested 311.1 billion VND facility, subject to standard project-finance risk mitigants. The average ADSCR of 2.07x is well above conventional minimum thresholds (typically 1.2x–1.3x for real estate income-producing assets), and the loan structure — a 4-year grace period aligned with the leasing ramp-up, followed by 10 years of equal amortization — is well matched to the project's cash flow profile. The principal risk a bank would flag is the 2031–2033 coverage trough (ADSCR 1.24x–1.30x), where the bank would likely require a debt service reserve account, a minimum ADSCR covenant, and/or a completion guarantee during construction as conditions precedent to approval.

## 8.4 Key Risks and Sensitivities to Monitor

- Occupancy ramp-up risk: slower-than-assumed lease-up (i.e., vacancy remaining above the modeled 50% → 40% → 30% → 20% trajectory) would directly compress EGI and weaken ADSCR precisely during the most vulnerable 2031–2033 window.
- Rent growth risk: realized real rent growth below the assumed 6%/5%/4%/3% step-down schedule would reduce both project and equity returns, with the effect compounding given the project's 27-year operating horizon.
- Interest rate risk: the loan's floating nominal rate (currently 11.5%, equivalent to a 5.5% real rate) is referenced to the bank's 1-year deposit rate; a sustained increase in this benchmark would raise real debt service costs and compress ADSCR and equity returns.
- Currency/inflation basis risk: the analysis in this report is performed entirely in real (VND) terms; differential VND vs. USD inflation paths — relevant if any project costs, revenues, or financing are USD-linked — were not part of the underlying DCF model reviewed and would require separate analysis if such exposures exist.

## 8.5 Overall Recommendation

An Gia should proceed with the Nhà Bè high-end residential leasing project. The investment creates positive value for shareholders at a return well above the cost of equity, the financing structure is bankable, and the

principal risks (occupancy ramp-up, rent growth, and the 2031–2033 debt service trough) are identifiable, monitorable, and capable of being mitigated through standard project-finance covenants and reserve mechanisms.